

5. A 50 mile meteor comes in or Yellowstone blows or some other extreme event takes place that takes Stewart's equity value to zero.

Odds I ascribed to this scenario playing out 1 percent

Equity value in 24 months if this scenario plays out \$0 per share

It is clear that there is much *uncertainty* about how this might play out. The *risk* of a permanent loss of capital is under 1 percent. It is a textbook example of a situation with *ultra high uncertainty* and *ultra low risk*. If presented with such a scenario, Wall Street will irrationally collapse the quoted value of the business. Always take advantage of a situation where Wall Street gets confused between risk and uncertainty. The results will usually be quite acceptable.

I hadn't heard of the Kelly Formula back then, but I didn't need anything beyond third grade math to know that this is a very favorable bet to make. (As an aside, per the Kelly Formula, about 97 percent of your available bankroll ought to be put on this very favorable bet.)

Pabrai Funds invested 10 percent of its assets into Stewart Enterprises at under \$2 per share in the third and fourth quarters of 2000 with the intent of exiting at anything over \$4 per share within two years.

A few months later, on a conference call on March 15, 2001, the company announced that it had begun to explore the sale of international funeral homes and cemeteries in Europe, Mexico, and such. International assets comprised about 20 percent of revenues and assets, but weren't generating much cash flow. Stewart had about \$460 million in assets outside the United States. With some of the uncertainty beginning to lift, the stock rallied from \$2 to \$3.

Stewart was expected to generate \$300 to \$500 million in cash from these sales. The amazing thing was that management had come up with a better option than I had envisioned. They were going to be able to eliminate the debt without any reduction in their cash flow. The lesson here is that we always have a free upside option on most equity investments when